

If Buddy chooses to continue paying \$3901.45 each month – with that \$406.67 PMI amount now going toward paying down the principal loan balance – the loan would be entirely paid off in 22 years and 6 months. By continuing to make the \$3901.45 payment each month, after the PMI has been removed, Buddy would save approximately \$53,750 in interest.

Scenario B:

If Buddy pays every two weeks instead of making one monthly payment, he would make a bi-weekly payment of \$1950.73, principal and interest payment of \$1747.39 and PMI of \$203.33. By paying this amount every 2 weeks, the PMI would not be removed until 89 months of payments have been made.

Once the PMI is removed, Buddy's payment of \$1747.39 every 2 weeks would entirely pay off the loan in 19 years and 3 months, saving him approximately \$181,730 in interest.

If Buddy chooses to continue paying \$1950.73 every two weeks – with the PMI amount of \$203.33 going toward principal – the loan would be entirely paid off in 17 years and 1 month. With a \$1950.73 payment every 2 weeks, even after the PMI has been removed, Buddy would save approximately \$221,750 in interest.

Scenario C:

If Buddy decides to make weekly payments of \$975.36, principal and interest of \$873.70 and PMI of \$101.67, PMI would not be removed until 89 months of payments have been made.

Once the PMI is removed, Buddy's payment of \$873.70 weekly means the loan would be entirely paid off in 19 years and 1 month, saving him approximately \$181,730 in interest.

If Buddy chooses to continue paying \$975.36 weekly – with the \$101.67 going toward paying down the principal loan balance – the loan would be entirely paid off in 17 years, and would save approximately \$222,600 in interest.

Whew.